

Japan Daily Brief

Wednesday, September 16, 2026

2,146 words · 9 min read

RE: BOJ rate hike imminent · LDP reshuffle · Global Hawk crash · DPRK drill confirmed · trade deficit widens

NIKKEI 225
63,923.00
▼ -2.07%

USD/JPY
155.11
▲ +1.00%

BRENT
\$107.56
▲ +2.82%

BOJ RATE
1.25%

• TODAY AT A GLANCE

- 1 BOJ expected to hike rates by 25 basis points to a 31-year high at this week's meeting, with Reuters and a CNBC survey of economists both flagging inflation risks and yen dynamics as the key variables.
- 2 PM Takaichi reshuffled the LDP executive lineup today, retaining most senior figures ahead of the fall parliamentary session, with a cabinet reshuffle set for Thursday.
- 3 A JASDF Global Hawk drone lost communications and is presumed crashed off western Japan, potentially degrading the SDF's wide-area surveillance posture — the force operates only three of the aircraft.

• TOP STORIES

ECONOMY-BOJ

BOJ set to raise rates to 31-year high; market focus on Ueda's forward guidance

A CNBC survey of economists and Reuters both report the BOJ is expected to hike the policy rate by *25 basis points* to its highest level since 1995 at this week's Monetary Policy Meeting. Analysts flag that BOJ Governor **Kazuo Ueda's** post-decision language on the pace of further tightening will carry more weight than the rate move itself, with the yen at 155.11 and Brent crude at \$107.56 complicating the inflation and growth outlook.

per CNBC: "BOJ expected to hike rates by 25 basis points to fresh three-decade high: CNBC survey"

CNBC

POLITICS-DIET

Takaichi retains veteran faces in LDP reshuffle; cabinet overhaul set for Thursday

PM **Sanae Takaichi** appointed a new LDP executive lineup on September 16, keeping most senior figures in place to maintain party stability ahead of the fall Diet session. A cabinet reshuffle is scheduled for Thursday; METI Minister Ryosei Akazawa, who has led US tariff negotiations, is among those whose continuity is being watched.

per The Japan Times: "Takaichi retains familiar faces in LDP leadership reshuffle"

THE JAPAN TIMES

DEFENSE

JASDF Global Hawk presumed crashed off western Japan, cutting wide-area surveillance capacity

The Japan Air Self-Defense Force confirmed that a Global Hawk high-altitude unmanned reconnaissance aircraft lost communications and is presumed crashed off western Japan. The JASDF operates only *three* Global Hawks; the loss of one aircraft represents a roughly one-third reduction in the force's persistent wide-area ISR capability at a time of heightened regional aerial surveillance demands.

per Nikkei Asia: "Japan Air Self-Defense Force confirms Global Hawk drone crash"

NIKKEI ASIA

CHINA-JAPAN

Chinese defense minister warns against 'militarism and revisionism' in veiled jab at Japan

Chinese Defense Minister **Dong Jun** used the Xiangshan Forum to warn against militarism and revisionism, remarks Chinese and Japanese media interpreted as directed at Japan, coming days after a cross-party Japanese parliamentary delegation visited Beijing. Chinese state media separately described the lawmakers' visit as an 'exploratory gesture' while insisting Japan must acknowledge its historical 'mistakes' before ties can normalize.

per The Japan Times: "Chinese defense chief warns against militarism and revisionism in veiled jab at Japan"

THE JAPAN TIMES

• OVERNIGHT

ALLIANCE

US weighs purchasing warships from Japan, South Korea to counter China · Nikkei Asia

The US government is considering procuring warships from Japan and South Korea as part of efforts to counter China's naval buildup, Nikkei Asia reports. The move would mark a significant expansion of allied defense-industrial cooperation and allied shipbuilding capacity.

DEFENSE

MUFG Bank to begin financing Japan's defense industry in policy shift · Nikkei Asia

MUFG Bank announced it will begin providing financing to Japan's defense industry, reversing a previously cautious stance on lending to the sector. The shift reflects the broader normalization of defense financing among Japanese financial institutions as Tokyo's defense buildup accelerates.

POLITICS-DIET

Okinawa elected new governor Koja Genta on economic platform · The Diplomat

Koja Genta won the Okinawa gubernatorial election on an economic development vision rather than a stance on US bases, The Diplomat reports, with analysis noting the result does not resolve base-related tensions but shifts the political framing. PM Takaichi's ally won the race, changing the calculus for the Futenma-Henoko relocation debate.

DPRK

North Korean minister-led delegation departs for Asian Games in Japan · Yonhap

A North Korean delegation led by a minister has departed for the Asian Games in Nagoya, Japan — a rare contact point between the two countries amid ongoing tensions over Pyongyang's missile and drone drills. The delegation's presence follows North Korea's September 12 joint firepower strike drill targeting an island in the Sea of Japan.

Commentary: Putin's Etorofu landing exposes limits of Tokyo's cautious Russia diplomacy · Japan Forward
Japan Forward publishes an analysis arguing Putin's landing on Etorofu revealed the strategic limits of Tokyo's cautious diplomatic approach to Russia, and noting the degree to which Moscow now coordinates with Beijing. The piece calls for a fundamental rethink of Japan's Russia policy.

• STAT OF THE DAY

9.6%

Drop in foreign visitors to Japan in August year-on-year

Japan received 3.1 million foreign visitors in August, down 9.6% from the prior year, driven by a roughly 60% collapse in Chinese visitors — the ninth consecutive month of year-on-year decline in Chinese arrivals.

Drop in Chinese visitors drives decline in Japan's inbound tourism in August — Japan Times

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · WEDNESDAY, SEPTEMBER 16, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi presided over the LDP executive reshuffle on September 16, appointing a new party leadership team that retains most senior figures ahead of the fall Diet session.

防衛省 · MINISTRY OF DEFENSE

Japan-South Korea defense ministers hold video conference, agree on cooperation

Defense ministers of Japan and South Korea held a television conference on September 15 and agreed on defense cooperation based on 'mutual understanding,' per MOD release and Korea Herald reporting.

→ Korea Herald ↗

防衛省 · MINISTRY OF DEFENSE

France air force chief visits MOD; next UK ambassador calls on MOD

The Chief of Staff of the French Air and Space Force visited Japan's Ministry of Defense on September 16. Separately, the incoming British Ambassador to Japan also called on the MOD.

内閣官房長官 · CHIEF CABINET SECRETARY · *Chief Cabinet Secretary Minoru Kihara*

Chief Cabinet Secretary holds morning press conference September 16

Chief Cabinet Secretary **Minoru Kihara** held the morning press conference on September 16; Japan also formally welcomed the first parliamentary election in Mindanao, Philippines, as a step toward peace in the region.

→ gov-online.go.jp ↗

Infected USB drives used by Japan defense forces found procured improperly

A report found that USB drives infected with malware and used by Japan's defense forces were procured through improper channels, raising cybersecurity and supply-chain integrity concerns for SDF equipment.

→ [Nikkei Asia](#) ↗

DIET SESSIONS / LDP**LDP****PM Takaichi states she holds no personnel authority over House of Councillors executives**

PM Takaichi publicly stated that personnel decisions for the House of Councillors executive posts — including the Councillors' Secretary-General — are not within her direct authority, amid reporting on a change in the upper house's leadership.

CENTRIST REFORM ALLIANCE / CDP SPLINTER**Former CDP members of Centrist Reform Alliance finalize new party formation**

The 48 former CDP lawmakers in the Centrist Reform Alliance announced plans to form a new party, with the CRA's 28 Komeito-affiliated Lower House members expected to return to Komeito ahead of the next Diet session. The split dissolves the CRA along its founding party lines.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
FNN · Sep 15, 2026	61.6%	32.2%
NHK · Sep 10, 2026	52.8%	30.8%
JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 10, 2026	50.2%	33.9%
Yomiuri · Sep 5, 2026	56%	32%

Discourse: The Centrist Reform Alliance is dissolving along founding-party lines — 48 former CDP lawmakers forming a new party and 28 Komeito members expected to return to Komeito — reshaping the opposition landscape ahead of the next Diet session and opening space for a possible LDP-Komeito coalition revival.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• BUSINESS & ECONOMY

MACRO · NIKKEI ASIA

Japan logs fourth straight monthly trade deficit in August; exports up 19.3% but oil imports surge

Japan recorded a ¥7.1 billion trade deficit in August — its fourth consecutive monthly shortfall — as export growth of 19.3% year-on-year (above the 18.2% Reuters poll consensus) was outpaced by a jump in import costs driven by elevated oil prices. Semiconductor shipments were a key export driver, per Bloomberg.

FINANCE · NIKKEI ASIA

BOJ eyes further rate hikes to fight inflation; bond market flags yield impact risk

Nikkei Asia reports the BOJ is focused on combating inflation through continued rate normalization, but the bond market is increasingly concerned about the impact of higher policy rates on long-term JGB yields, with the 10-year JGB already at 1.50%.

ENERGY · NIKKEI ASIA · INPEX

Inpex sees surge in interest in Indonesia LNG as Hormuz closure disrupts supply

Japan's Inpex reports strong international interest in its Indonesia LNG operations as the closure of the Strait of Hormuz forces buyers to seek alternative supply sources, reinforcing Japan's strategic interest in non-Middle East LNG diversification.

FINANCE · NIKKEI ASIA

Tokyo commercial land prices hit 33-year high as office demand rebounds

Tokyo commercial land prices jumped to a 33-year high as return-to-office trends reduce remote work and drive renewed demand for urban commercial real estate. Japan's average land price rose for the fifth consecutive year, per NHK reporting.

REGIONAL PRESSURE WATCH

Normal — 30 items

CHINA

Chinese Defense Minister Dong Jun used the Xiangshan Forum to warn against 'militarism and revisionism' in remarks widely read as directed at Japan, coming days after a cross-party Japanese parliamentary delegation's Beijing visit. Chinese state media framed the lawmakers' visit as an 'exploratory gesture' contingent on Japan acknowledging historical 'mistakes,' while China's Foreign Ministry spokesperson expressed hope that Japan-China friendship groups create conditions for improving bilateral ties.

NORTH KOREA

North Korea formally confirmed via state media that the September 12 launches constituted a 'joint firepower strike drill' combining long-range artillery, ballistic missiles, and attack drones targeting an island in the Sea of Japan, claiming 'huge destructive power.' Separately, a minister-led North Korean delegation has departed for the Asian Games in Nagoya, creating a rare direct Japan-DPRK contact channel.

RUSSIA

Japan-Russia bilateral trade rose *19.51%* to \$959 million in August per TASS, underscoring the economic interdependence that constrains Tokyo's response options following Putin's Northern Territories island visit. Nikkei Asia analysis confirms LNG dependency is the central constraint on any escalatory Japanese sanctions response.

Senkaku / ECS: No new Senkaku or East China Sea incident data in today's articles; the prior recent pattern of JASDF scrambles and CCG patrol activity carries forward as baseline.

"exploratory gesture"

Global Times (Chinese state media characterization of Japanese lawmakers' Beijing visit) · Japanese cross-party delegation's visit to China an 'exploratory gesture,' yet recognition of mistakes required — Global Times

Bottom line: North Korea's September 12 joint firepower drill is now formally confirmed by Pyongyang; a DPRK ministerial delegation simultaneously arriving in Japan for the Asian Games creates an anomalous dual-track dynamic to watch for any informal Japan-DPRK signaling.

• U.S.-JAPAN RELATIONS

ALLIANCE · KYODO NEWS

US Army radar site in Japan marks 20 years monitoring missile threats

A remote US Army radar installation in Japan celebrated its 20th anniversary of continuous operation tracking ballistic missile threats, per Stars and Stripes reporting, highlighting the long-standing role of US forward-deployed sensor architecture in Japan in the alliance's extended-deterrence posture.

• INDO-PACIFIC PARTNERS

QUAD · THE JAPAN TIMES

Zelenskyy and Japan Lower House speaker Mori discuss energy support in Kyiv

Ukrainian President Zelenskyy met Japan's Lower House Speaker Eisuke Mori in Kyiv to discuss energy cooperation and Japan's continued support for Ukraine, with Zelenskyy separately requesting that PM Takaichi visit Kyiv.

SOUTHEAST ASIA · MANILA BULLETIN / JIJI PRESS

Japan welcomes first parliamentary election in Mindanao as step toward regional peace

Japan's government formally welcomed the first parliamentary election in Mindanao, Philippines, viewing it as a step toward lasting peace and autonomy in the region, per Chief Cabinet Secretary Kihara's statement.

SOUTHEAST ASIA · NIKKEI ASIA

JFE Engineering and Japanese startups expand into Philippine renewable energy

Japan's JFE Engineering and multiple Japanese startups are investing in Philippine renewable energy projects, deepening Japan's economic engagement with Southeast Asia as part of energy security diversification.

QUAD · NIKKEI ASIA

Waymo to launch driverless robotaxis in Tokyo in 2027

US autonomous vehicle firm Waymo plans to deploy driverless robotaxis in Tokyo beginning next year, marking its first Asian market entry in a partnership that could accelerate Japan's urban mobility technology integration.

• THE WIRE

ECONOMY-BOJ

NIKKEI ASIA

Extra supplementary budgets have left METI structurally bloated, Nikkei finds

A Nikkei Asia analysis finds that successive extra budgets have left Japan's Ministry of Economy, Trade and Industry significantly expanded beyond its baseline, raising questions about fiscal discipline and METI's institutional scope.

CHINA-JAPAN

KYODO NEWS

Families of Chinese wartime forced laborers file suit against 6 Japanese firms in Chinese courts

Families of approximately 50 Chinese wartime forced laborers submitted a damages claim against six Japanese companies in Chinese courts, the latest legal action in an ongoing series of historical-compensation lawsuits that complicate Japan-China

• UPCOMING

Sep
17

Takaichi cabinet reshuffle — Thursday

PM Takaichi is scheduled to reshuffle the cabinet on Thursday, September 17, one day after reshuffling the LDP executive lineup. Economy minister Kiuchi is reported to be retained.

Sep
19

BOJ Monetary Policy Meeting decision expected

A 25-basis-point rate hike to a 31-year high is widely anticipated; BOJ Governor Ueda's post-meeting press conference and language on the inflation trajectory will be closely watched by markets.

Sep
22

PM Takaichi to address UN General Assembly

PM Takaichi is confirmed to address the UN General Assembly on September 22, per earlier reporting. The speech is expected to touch on energy security, the Ukraine conflict, and Japan's Indo-Pacific posture.

Sep
26

Nagoya Asian Games opening — North Korean delegation en route

A minister-led North Korean delegation has departed for the Asian Games in Japan's Nagoya. The delegation's presence creates a rare Japan-DPRK people-to-people contact point against the backdrop of North Korea's September 12 joint firepower drill.

Oct
1

Tokyo electricity bills reach record high under new tariff

Household electricity bills in Tokyo Electric Power Company's service area are set to hit a record ¥9,307 in October, driven by rising fuel costs amid elevated global energy prices.

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